

Decentralized autonomous organization (DAO). An algorithmic organization with a set of rules encoded in a *smart contract* that stipulates who can execute what behavior or upgrade. Commonly includes a *governance token*.

Decentralized exchange (DEX). A platform that facilitates token swaps in a non-custodial fashion. The two mechanisms for DEX liquidity are *order book matching* and *automated market maker*.

Decentralized finance (DeFi). A financial infrastructure that does not rely on a centralized institution such as a bank. Exchange, lending, borrowing, and trading are conducted on a peer-to-peer basis using *blockchain* technology and *smart contracts*.

Defi legos. The idea that combining protocols to build a new protocol is possible. Sometimes referred to as DeFi money legos or composability.

Digest. Also known as message digest. See *cryptographic hash*.

Direct incentive. A payment or fee associated with a specific user action intended to be a reward for positive behavior. For example, suppose a *collateralized debt obligation* becomes undercollateralized. The condition does not automatically trigger liquidation; rather, an *externally owned account* must trigger it, and then a reward (direct incentive) is given.

Double spend. A problem that plagued digital currency initiatives in the 1980s and 1990s: perfect copies can be made of a digital asset, so it can be spent multiple times.